



KCB

KCB PRESS RELEASE TO THE MEDIA Q1 2013 GROUP FINANCIAL RESULTS



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Outline

1. Macro-Economic Indicators
2. Group Income Statement
3. Group Balance Sheet
4. Financial Highlights
5. Statutory Ratios
6. Bank at a Glance
7. Future Outlook



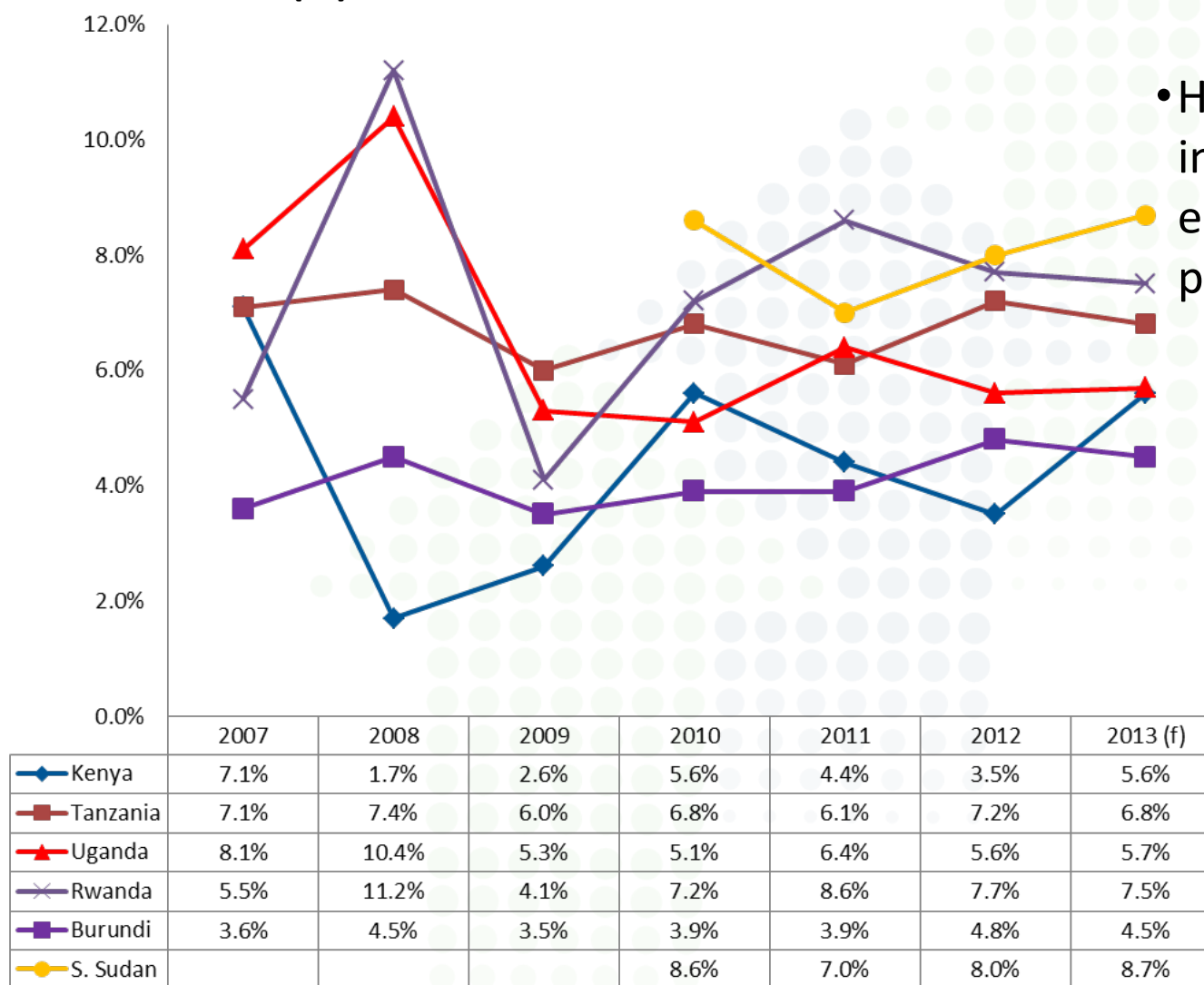
MACRO-ECONOMIC INDICATORS



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Regional Macros

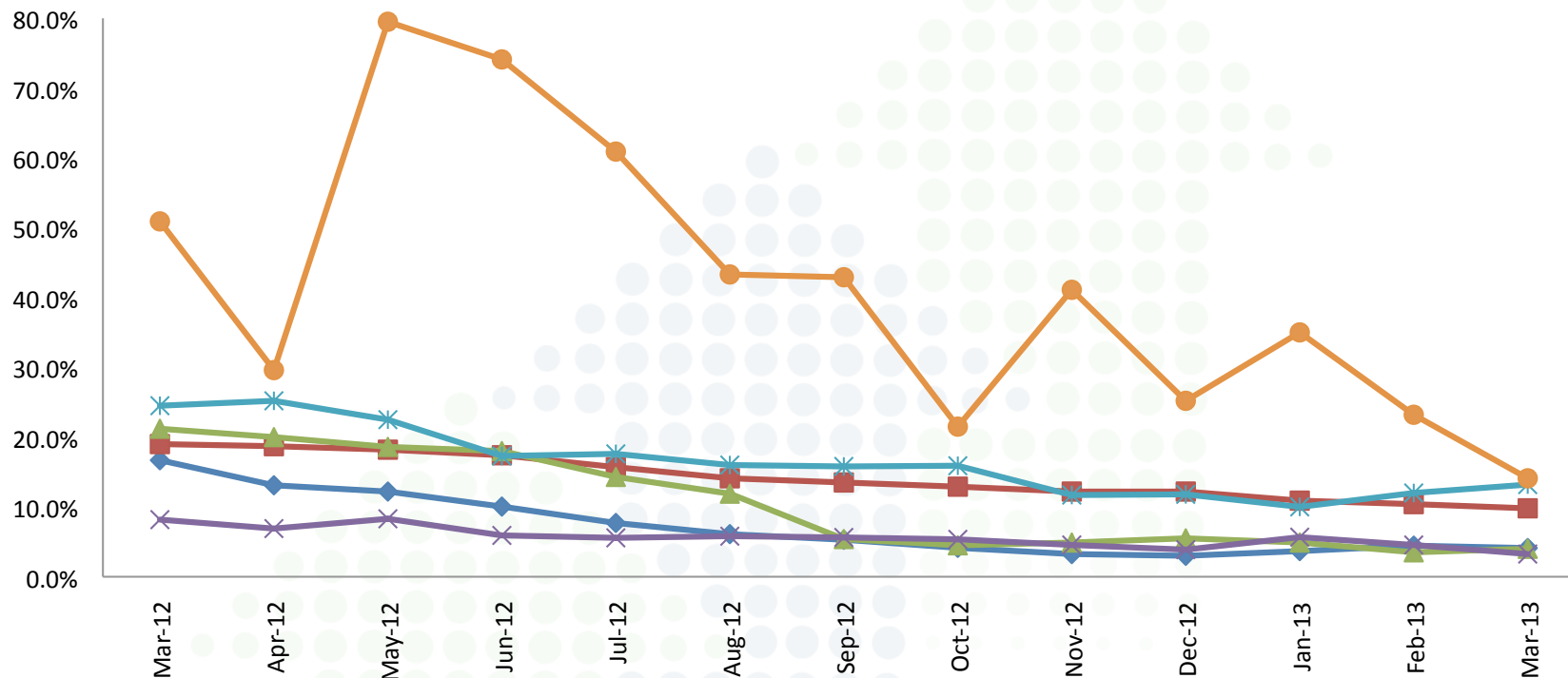
EAC GDP Rate(%)



- Higher GDP and lower inflation create an environment for improved performance

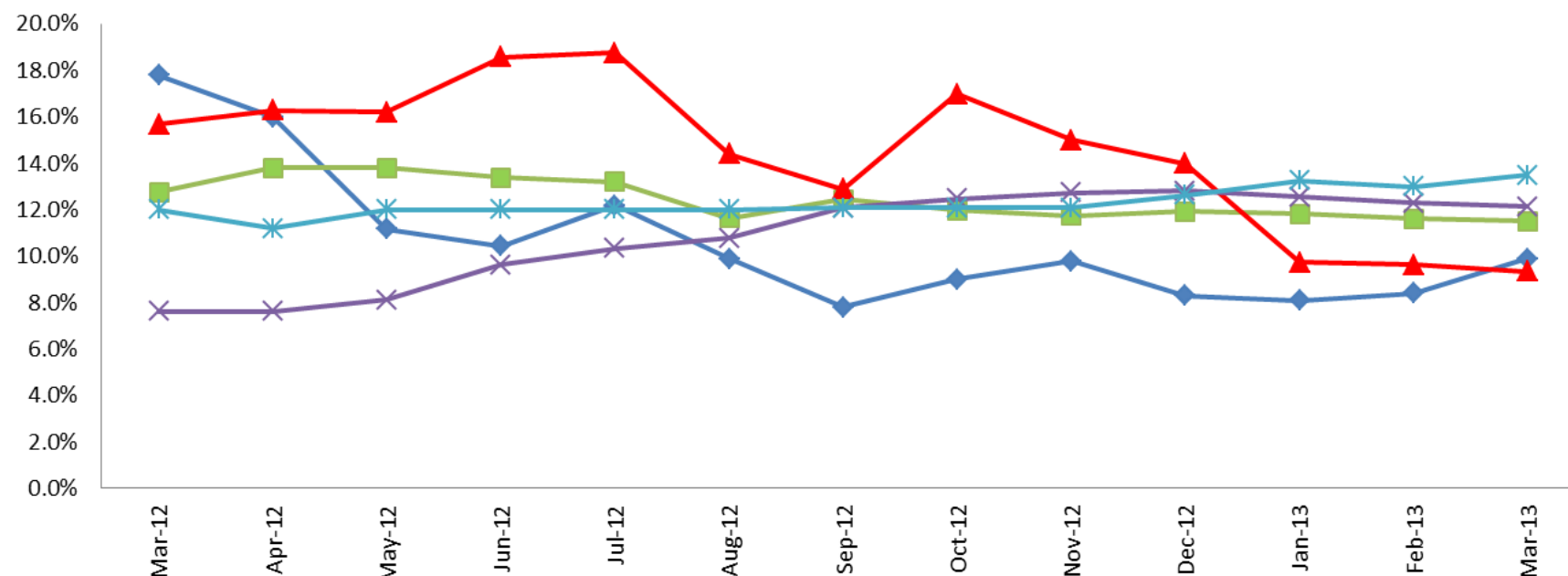


Overall Inflation



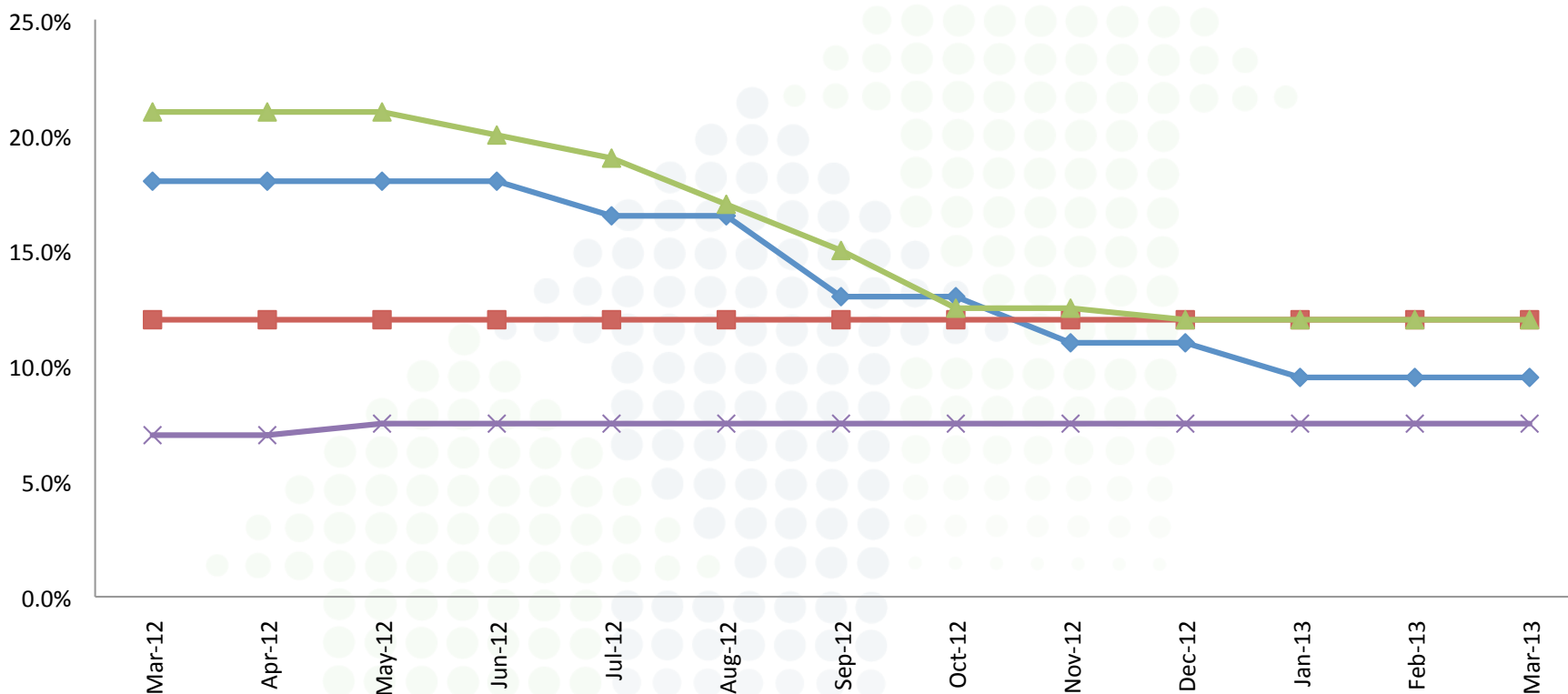
	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13
Kenya	16.7%	13.1%	12.2%	10.1%	7.7%	6.1%	5.3%	4.1%	3.3%	3.0%	3.7%	4.5%	4.1%
Tanzania	19.0%	18.7%	18.2%	17.4%	15.7%	14.1%	13.5%	12.9%	12.2%	12.2%	10.9%	10.4%	9.8%
Uganda	21.2%	20.0%	18.6%	18.0%	14.3%	11.9%	5.4%	4.5%	4.9%	5.5%	4.9%	3.5%	4.0%
Rwanda	8.2%	6.9%	8.3%	5.9%	5.6%	5.8%	5.6%	5.4%	4.6%	3.9%	5.7%	4.6%	3.3%
Burundi	24.5%	25.2%	22.5%	17.3%	17.6%	16.0%	15.8%	15.9%	11.7%	11.8%	10.0%	12.0%	13.2%
South Sudan	50.9%	29.6%	79.5%	74.1%	60.9%	43.3%	42.9%	21.5%	41.1%	25.2%	35.0%	23.2%	14.1%

91 Day Treasury Bill Rate



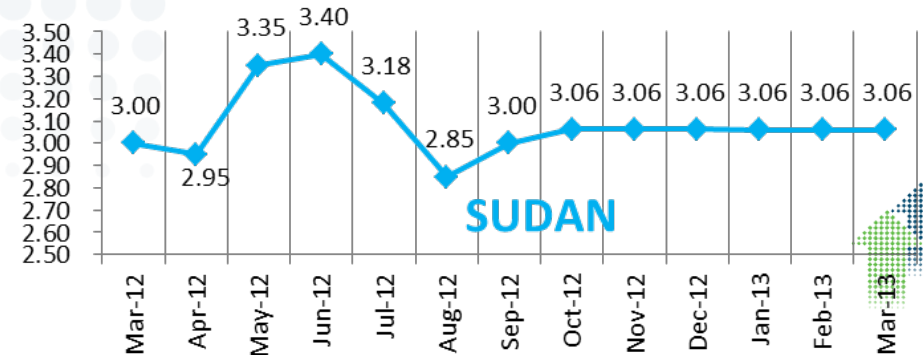
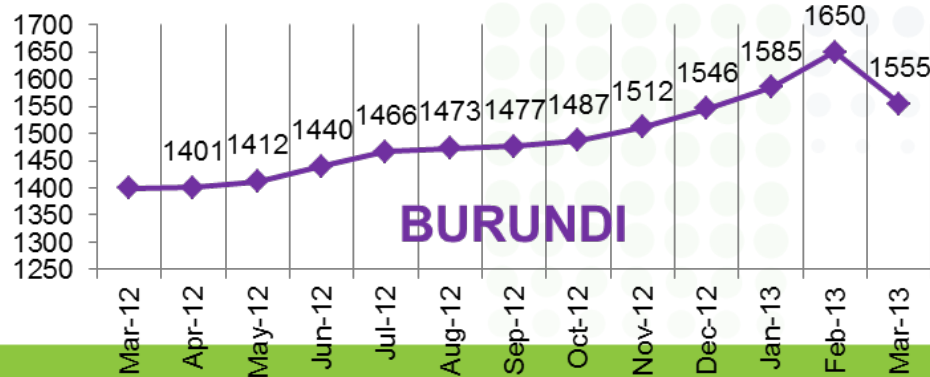
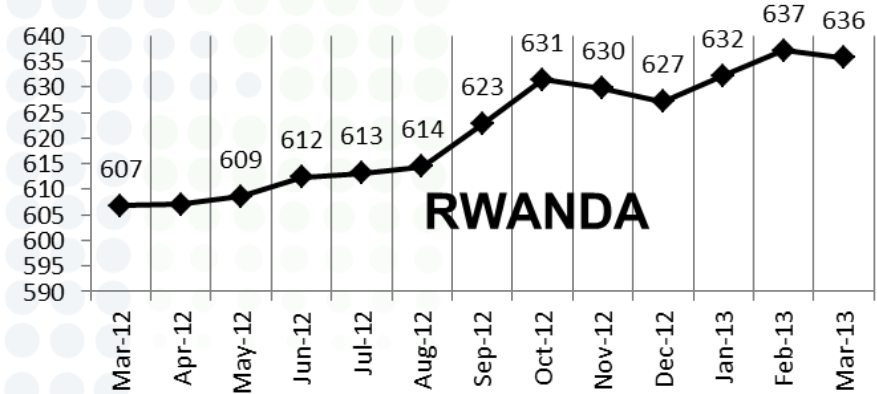
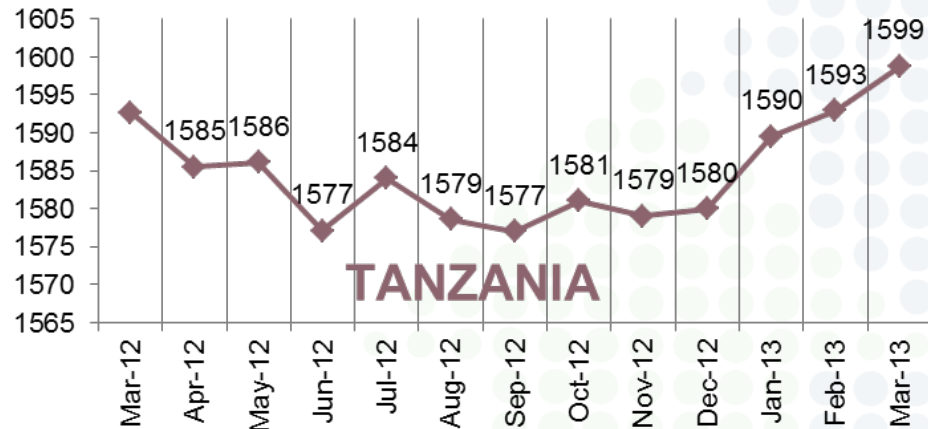
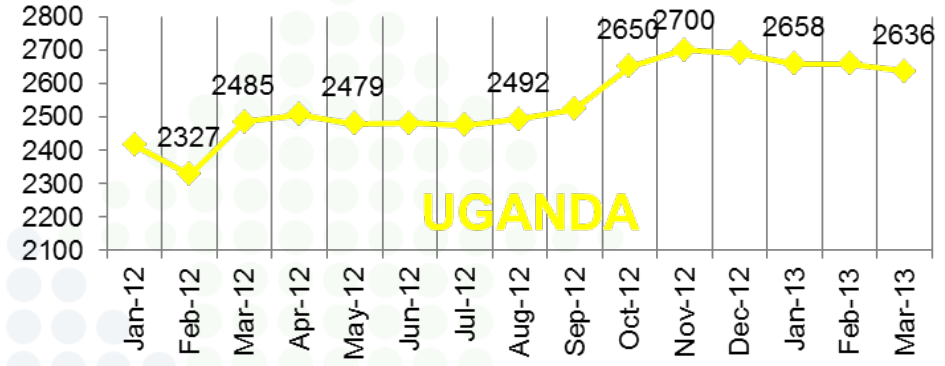
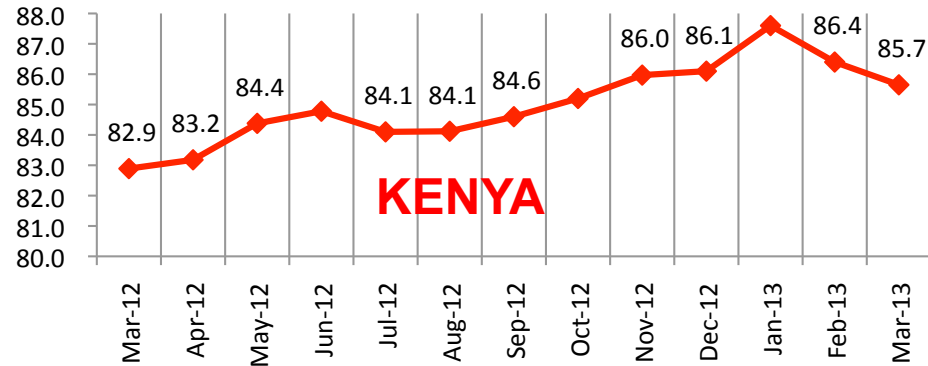
	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13
Kenya	17.8%	16.0%	11.2%	10.5%	12.2%	9.9%	7.8%	9.0%	9.8%	8.3%	8.1%	8.4%	9.9%
Tanzania	12.8%	13.8%	13.8%	13.4%	13.2%	11.6%	12.5%	12.0%	11.8%	11.9%	11.8%	11.6%	11.5%
Uganda	15.7%	16.3%	16.2%	18.6%	18.8%	14.4%	12.9%	17.0%	15.0%	14.0%	9.8%	9.6%	9.4%
Rwanda	7.6%	7.6%	8.1%	9.6%	10.3%	10.8%	12.1%	12.5%	12.7%	12.8%	12.6%	12.3%	12.1%
Burundi	12.0%	11.2%	12.0%	12.0%	12.0%	12.0%	12.1%	12.1%	12.1%	12.6%	13.3%	13.0%	13.5%

Central Bank Rate



	Mar-12	Apr-12	May-12	Jun-12	Jul-12	Aug-12	Sep-12	Oct-12	Nov-12	Dec-12	Jan-13	Feb-13	Mar-13
Kenya	18.0%	18.0%	18.0%	18.0%	16.5%	16.5%	13.0%	13.0%	11.0%	11.0%	9.5%	9.5%	9.5%
Tanzania	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%
Uganda	21.0%	21.0%	21.0%	20.0%	19.0%	17.0%	15.0%	12.5%	12.5%	12.0%	12.0%	12.0%	12.0%
Rwanda	7.0%	7.0%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%	7.5%

Currency exchange rate (USD):



GROUP PERFORMANCE



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Group Income Statement (KShs. M)

	AUDITED	Un-Audited	Un-Audited	%
	Dec-12	Mar-12	Mar-13	Change
Net interest income	30,636	6,971	7,374	6%
Foreign exchange income	3,688	825	1,046	27%
Gross fees and commissions	9,613	2,397	2,427	1%
Other income	661	106	284	>100%
Total operating income	44,598	10,299	11,131	8%
Total operating expenses	(25,292)	(6,362)	(6,560)	3%
Profit before provisions & tax	19,306	3,937	4,571	16%
Provisions for bad debts	(3,756)	(794)	(574)	(28%)
Bad debts recovered	1,658	250	265	6%
Profit before tax	17,208	3,393	4,262	26%
Tax	(5,005)	(966)	(1,229)	27%
Profit after tax	12,203	2,427	3,033	25%

Group Balance Sheet (KShs. M)

	AUDITED DEC 2012	UN-AUDITED MAR 2012	UN-AUDITED MAR 2013	% Change
Assets				
Cash and balances with Central Bank	26,364	29,581	39,440	33%
Balances with other institutions	20,478	31,727	19,531	(38%)
Investments in Government securities	86,992	56,887	75,918	33%
Investment securities	2,299	2,384	2,296	(4%)
Net loans and advances	211,664	195,323	211,859	8%
Fixed assets	10,217	9,614	9,938	3%
Other assets	9,365	8,832	10,562	19%
Total Assets	367,379	334,348	369,544	11%
Liabilities				
Customer deposits	288,037	259,985	287,317	11%
Balances due to other banks	9,334	11,791	9,444	(20%)
Other liabilities	7,746	6,366	8,667	36%
Long-term debt	8,923	8,719	8,952	3%
Total Liabilities	314,040	286,861	314,380	10%
Share capital	2,970	2,969	2,970	0%
Proposed dividends	5,644	5,492	5,644	3%
Reserves and premium	44,725	39,026	46,550	19%
Shareholders Equity	53,339	47,487	55,164	16%
Total Liabilities and Equity	367,379	334,348	369,544	11%

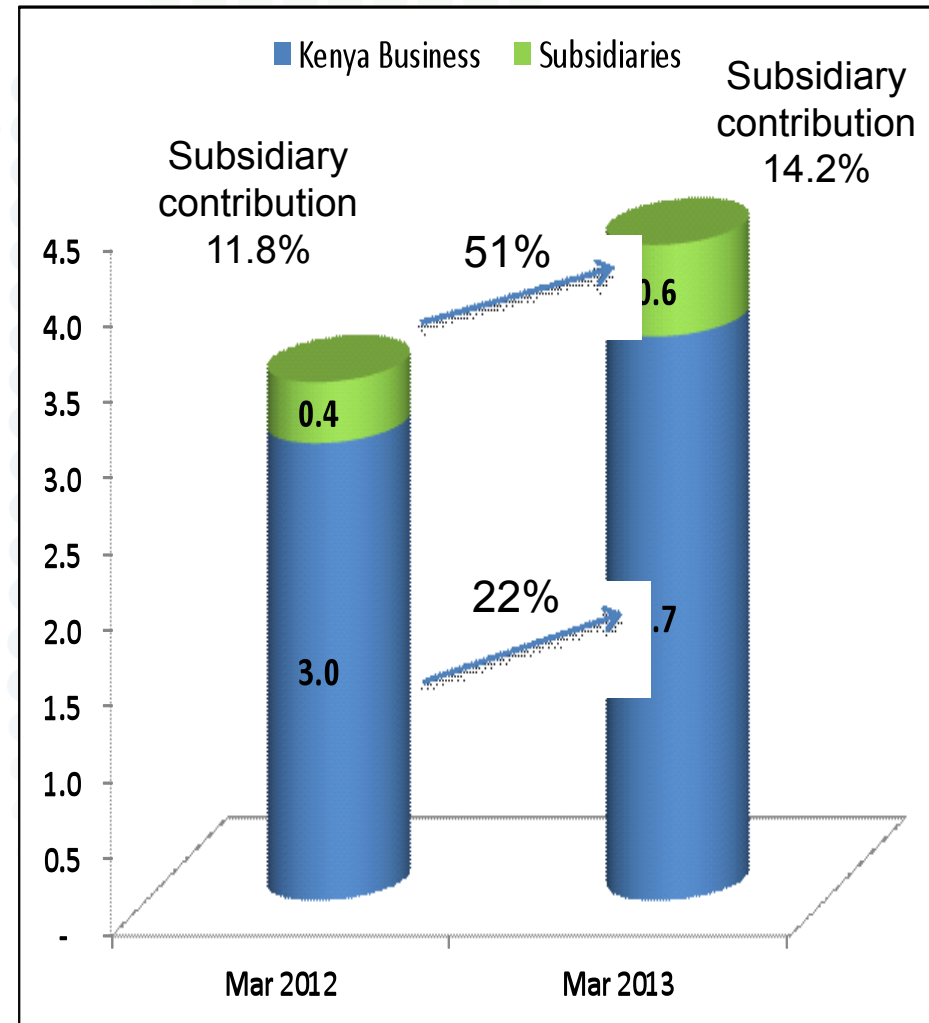
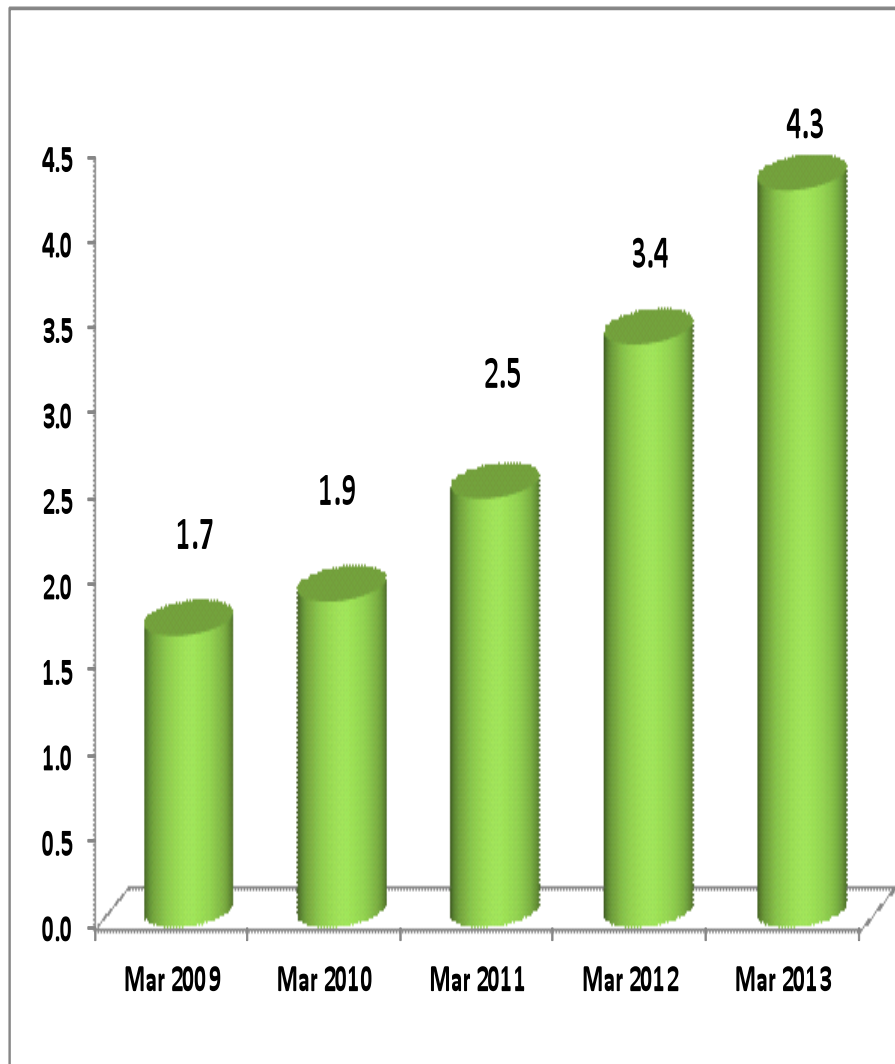
Financial Highlights Mar 2013 Vs. Mar 2012

- ➔ **Profit Before Tax: KShs. 4.3B, up 26% (Mar 2012: KShs. 3.4B)**
- ➔ **Strong performance in Kenya business: Pre-tax profit, KShs. 3.7B up 22% (Mar 2012: KShs. 3.0B)**
- ➔ **Excellent results by International Business: Pre-tax profit, KShs. 0.6B up 51% (Mar 2012: KShs. 0.4B)**
- ➔ **Net interest income up 6% to KShs. 7.4B (Mar 2012: KShs. 7.0B)**
- ➔ **Total operating income up 8% to KShs. 11.1B (Mar 2012: KShs. 10.3B)**
- ➔ **Total operating expenses increased by 3% to KShs. 6.6B (Mar 2012: KShs. 6.4B)**
- ➔ **Group financial position rose by 11% to KShs. 369.5B (Mar 2012: KShs. 334.3B)**
- ➔ **Net loans and advances up 8% to KShs. 211.9B (Mar 2012: KShs. 195.3B)**
- ➔ **Customer deposits up 11% to KShs. 287.3B (Mar 2012: KShs. 260.0B)**
- ➔ **Cost to income ratio lower by 240bp to 59.6% (Mar 2012: 62.0%)**
- ➔ **Shareholders equity increased by 16% to KShs. 55.2B (Mar 2012: KShs. 47.5B)**

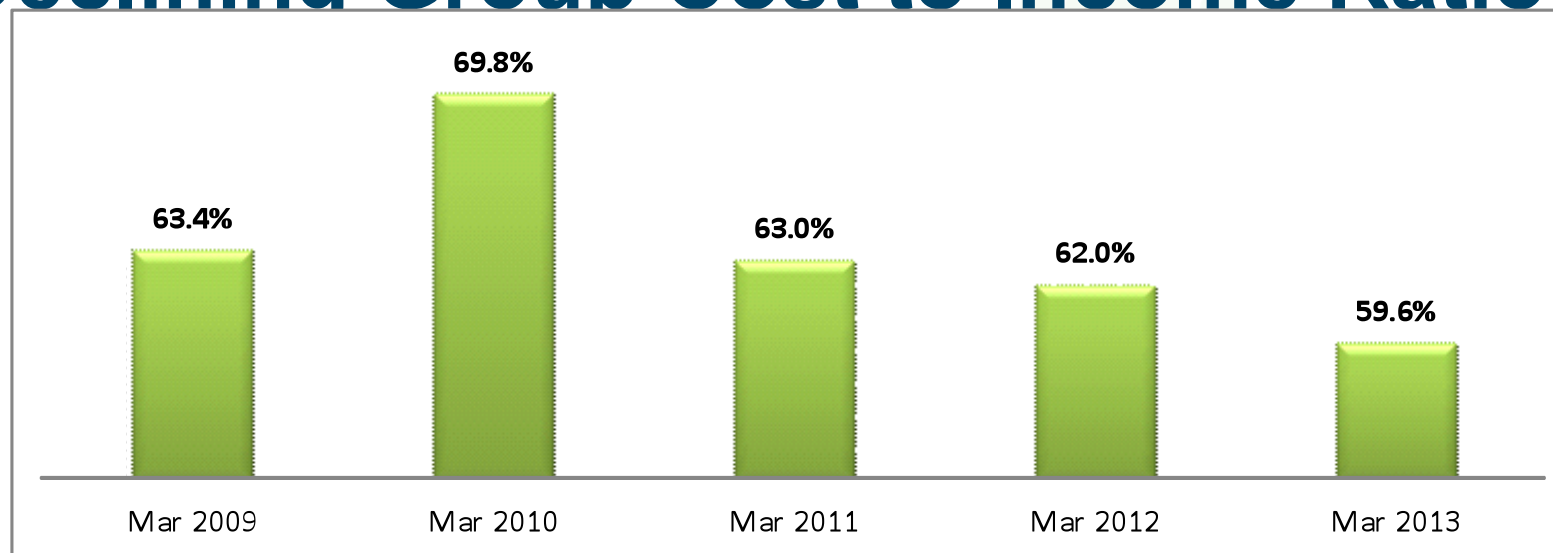
PBT Growth & Contribution

Strong profit growth (KShs. B)

Contribution of PBT (KShs. B)



Declining Group Cost to Income Ratio

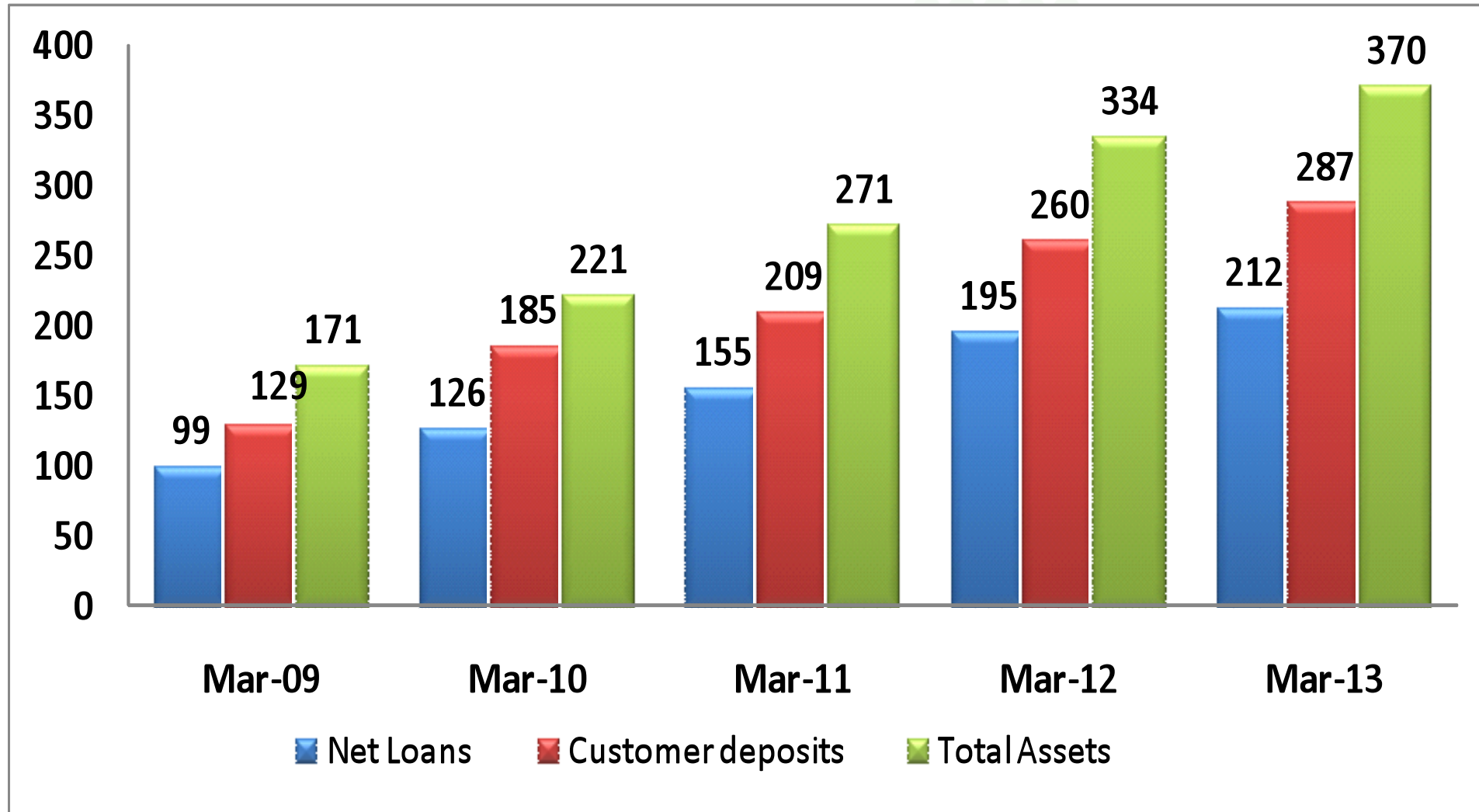


Comments:

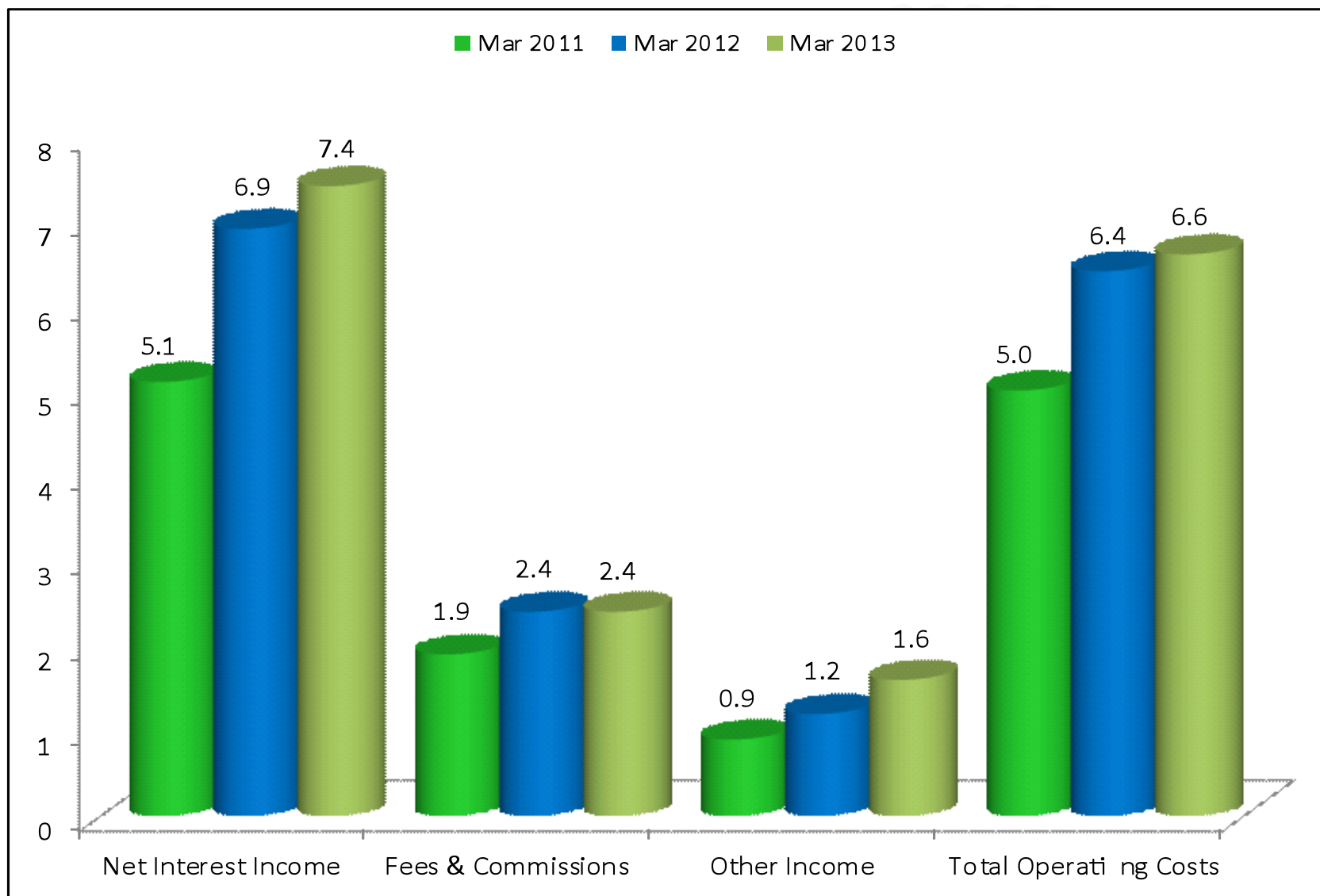
- Steady decline on CIR is expected
- One-off restructuring costs of 1.6 Billion in 2011
- Shared Service Centre serving the group



Healthy Financial Position Over the Years (KShs. B)



Distribution of Incomes (KShs B)



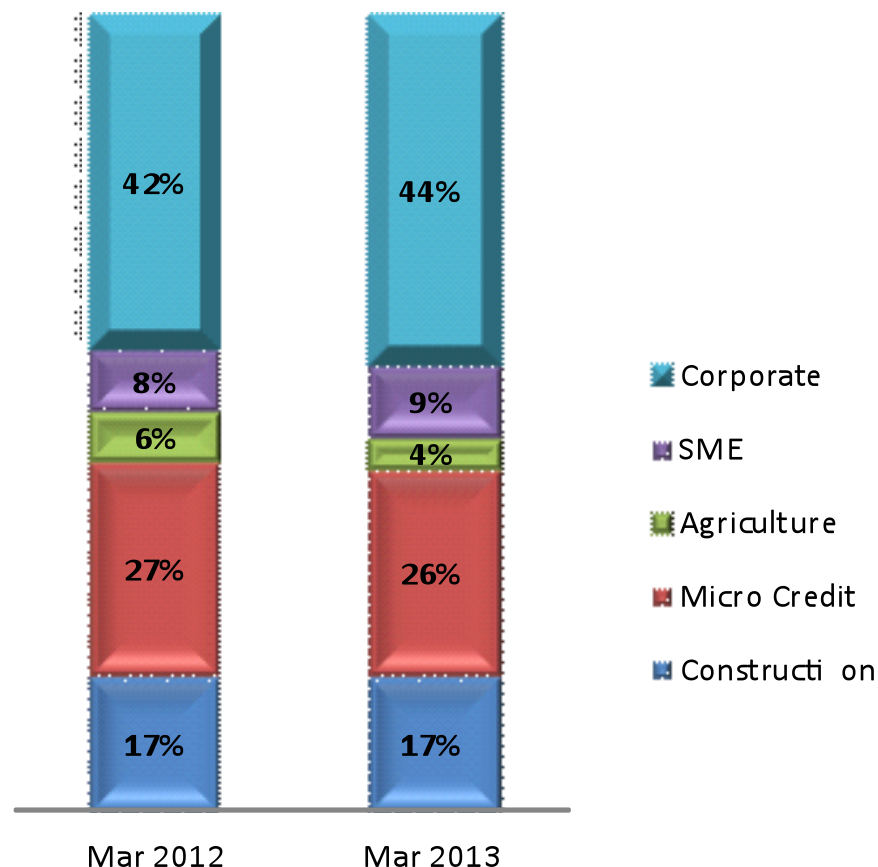
Well Balanced and Healthy Asset and Funding Mix

Deposit Type	Percentage
Current	49%
Call	5%
FDR	23%
Transaction	20%
Savings	3%

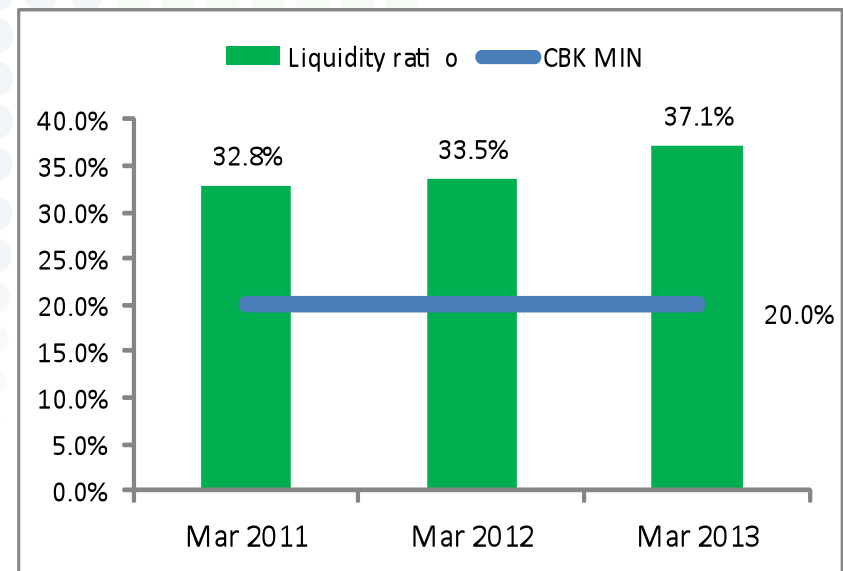
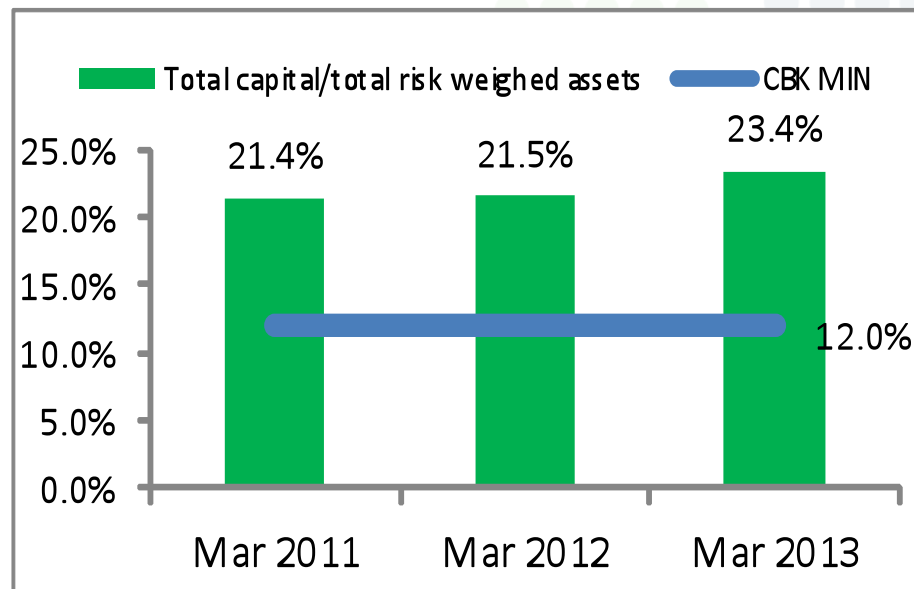
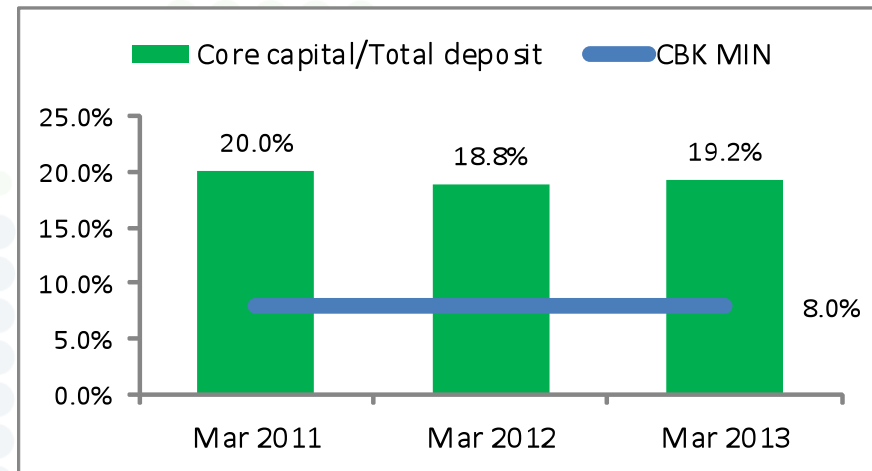
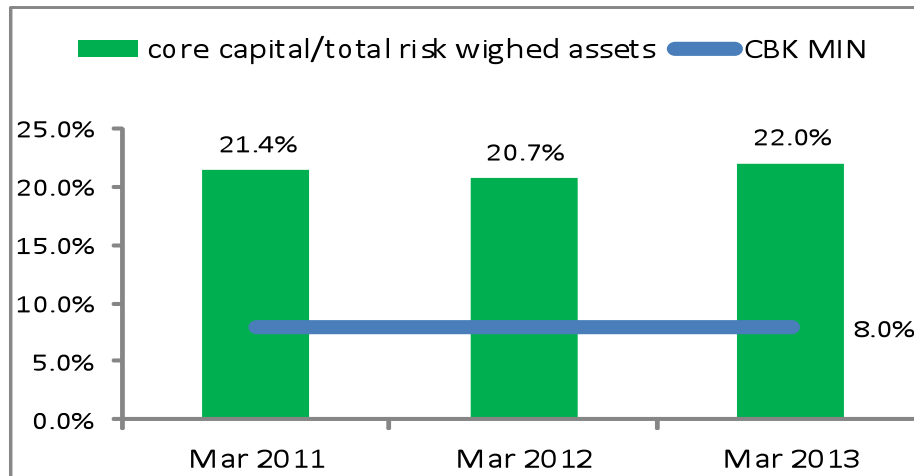
Comments:

- Focus remains on retail deposits
- Yield on government paper has increased in the month of March.

Loans & Advances



KEY BANK STATUTORY RATIOS



GROUP AT A GLANCE



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The Group Regional Footprint: *The Bank has made tremendous progress with its regional expansion program.*

- Asset Base
370 Billion
- Capital Base
55 Billion
- No. of Branches 230
- 940 ATM's
- No. of Customers
2 Million
- No. of Agents 5,035

GROUP

SOUTH SUDAN- 2006

20 Branches
27 ATMs
387 Staff

UGANDA- 2007

14 Branches
16 ATMs
308 Staff

BURUNDI- 2012

1 Branch
2 ATMs
59 Staff

KENYA- 1896

173 Branches
864 ATMs
3,933 Staff

RWANDA- 2008

11 Branches
18 ATMs
329 Staff

TANZANIA- 1997

11 Branches
13 ATMs
238 Staff



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The Group's Road Map to Accelerated Growth and Profitability



KCB BRANDS

Leveraging technology and innovation to drive business growth



KNCB KN KES ↓ 40.50 - .25

At 8:11 d Vol 355,500

N40.00 / 42.00N 6200 x 557k

O 41.00N H 41.00N L 39.75N Val 14.42M

KNCB KN Equity

90 Actions

97 Edit

98 Feedback

G 81 - Total Return- 1 month

03/01/2012

03/31/2013

11 Compare Local CCY

1D

3D

1M

6M

YTD

1Y

5Y

Max

Daily

▼

Security/Study

Security/Study

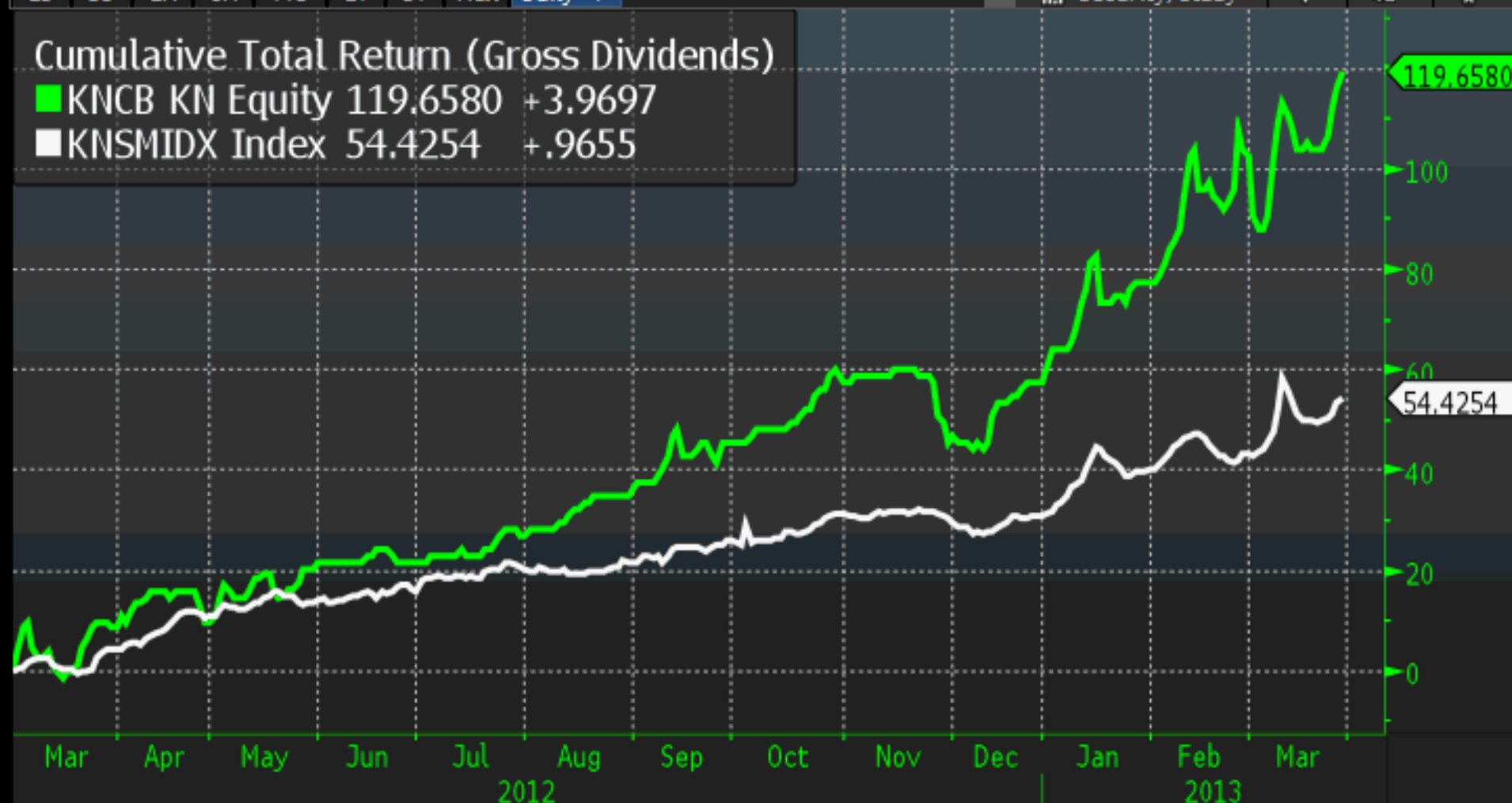
Security/Study

Security/Study

Cumulative Total Return (Gross Dividends)

■ KNCB KN Equity 119.6580 +3.9697

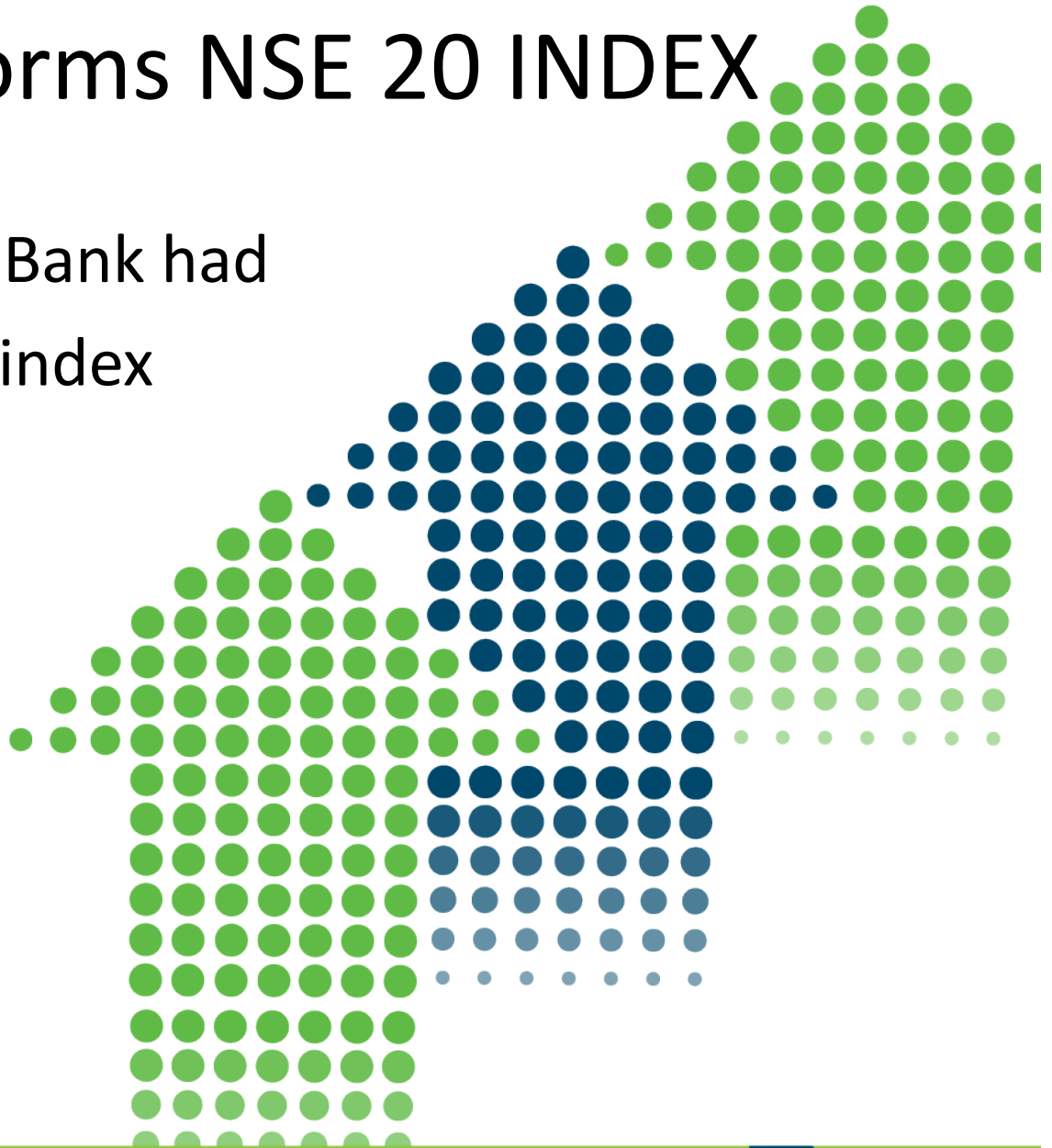
■ KNSMIDX Index 54.4254 +.9655



Australia 61 2 9777 8600 Brazil 5511 3048 4500 Europe 44 20 7330 7500 Germany 49 69 9204 1210 Hong Kong 852 2977 6000
Japan 81 3 3201 8900 Singapore 65 6212 1000 U.S. 1 212 318 2000
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The Bank Outperforms NSE 20 INDEX

As at end March 2013 the Bank had outperformed the NSE 20 index by 120%.



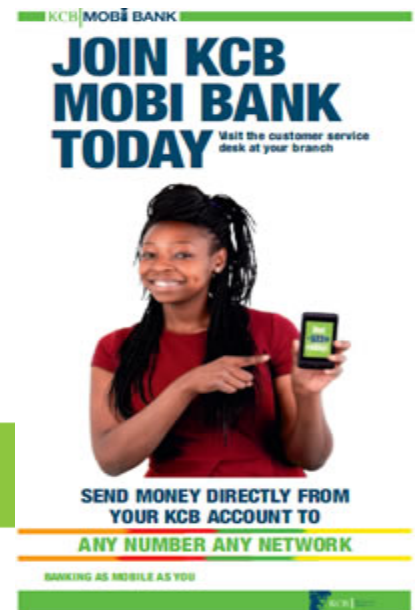
Agency Banking and Mobile Bank

Agency Banking

- The number of agents increased from 4,627 in 2012 to 5,035 as at end of March 2013
- 5% of the Bank's retail transactions are done through the Agency
- The mid term goal is to grow the number of agents to 10,000 in the region.

Mobile Bank

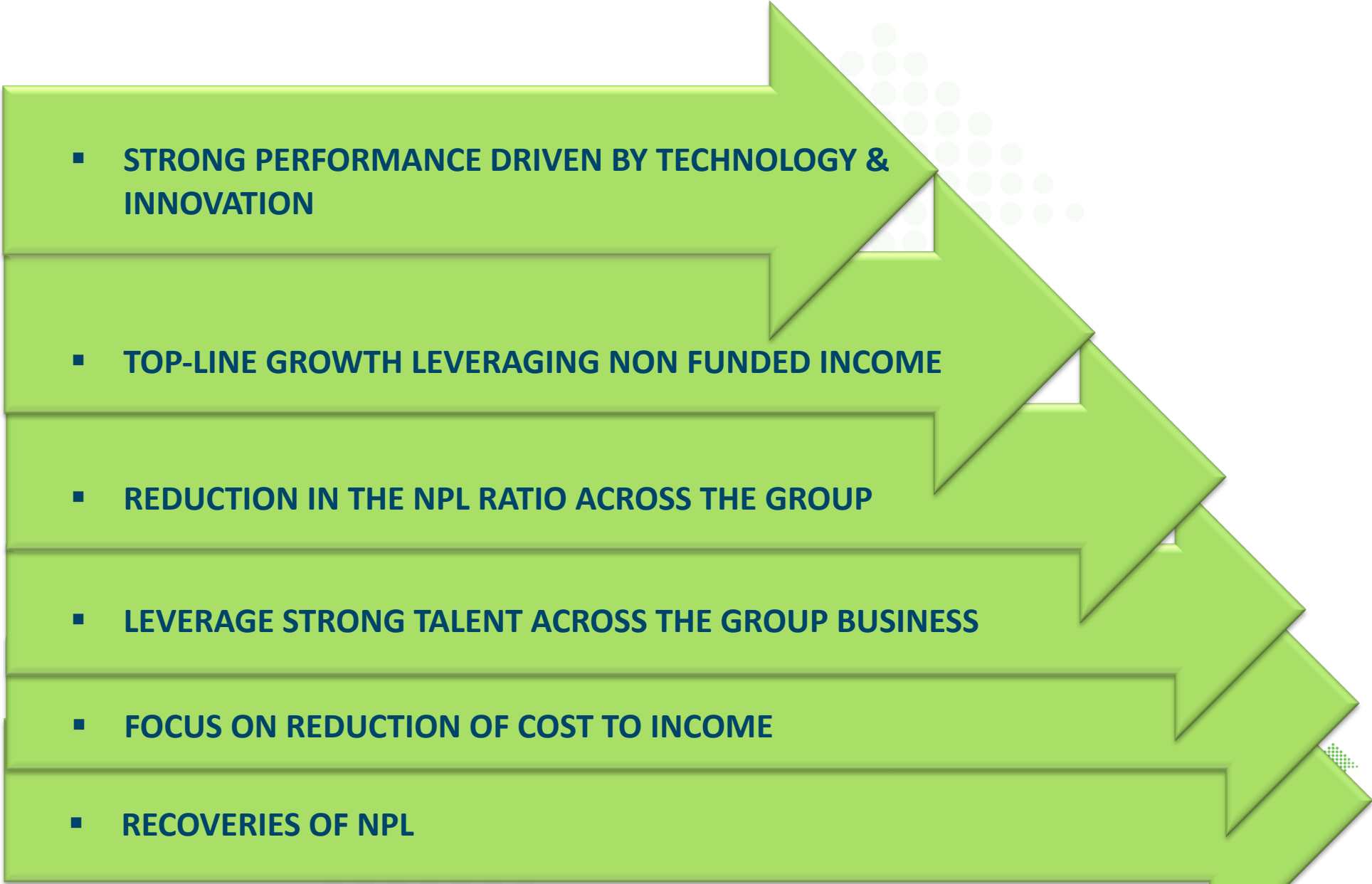
- The number of registered mobile banking users increased from 652,384 in 2012 to 821,235 as at end of March 2013.
- 10% of the Bank's retail transactions are done through Mobile Banking



FUTURE OUTLOOK



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- 
- **STRONG PERFORMANCE DRIVEN BY TECHNOLOGY & INNOVATION**
 - **TOP-LINE GROWTH LEVERAGING NON FUNDED INCOME**
 - **REDUCTION IN THE NPL RATIO ACROSS THE GROUP**
 - **LEVERAGE STRONG TALENT ACROSS THE GROUP BUSINESS**
 - **FOCUS ON REDUCTION OF COST TO INCOME**
 - **RECOVERIES OF NPL**



CONTACT US

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